

Asset-Backed Securities

The term asset-backed securities encompasses a wide range of securities that share a common characteristic. The securities are issued by a corporate entity set up specifically to hold a certain pool of assets, issue refinancing instruments against it, and manage the flow of cash between assets and the refinancing instruments. The process of turning assets into securities is called (unsurprisingly) securitisation. The special entities are known as special-purpose vehicles (SPVs) or (less commonly) special-purpose entities (SPEs). ABS allow the refinancing of cash-generating assets without resorting to loans or other on-balance sheet forms of financing. The entity that uses ABS to refinance assets is generally known as the originator of the transaction. In contrast, the arranger of the transaction is the entity that defines the transaction structure, sets up the SPV, etc., and it is of course possible that the originator and the arranger of a transaction coincide.

SPVs commonly have very little equity capital relative to their asset bases, have no employees, are lightly regulated and often located in tax-efficient jurisdictions. The rights of the creditors of an SPV are governed by the prospectus of the SPV securities issues which typically also defines the corporate structure of the SPV itself. Note that for securities issued by banks or standard corporations, the prospectus would be significantly less descriptive on the corporate structure as such, and only define certain restrictions (covenants) on financial parameters. This issuer structure sets ABS apart from the much older covered bond structure (see Chapter 25) where the issuer has traditionally been a fully regulated bank.

Because the SPVs have very little corporate structure themselves, they need to rely on third parties to manage their daily operations. These parties are compensated for their services by the SPV with part of the cash generated by the assets that the SPV holds. The key party in this is the servicer of the assets. For ABS backed by loans for example, this would be the company that collects payments from the debtors, manages late payments and defaults, etc. The business of servicing can be quite attractive because it is essentially free of direct credit risk. The holders of ABS, however, have some exposure to the credit of the servicer. These aspects will be discussed in more detail later.

When the Basel Committee on Banking Supervision introduced a first risk-based framework of bank capital requirements ('Basel I') in 1988, it created an opportunity for capital structure arbitrage where banks could choose to structure their asset base so as to reduce the regulatory capital required to be held against these assets without

significantly changing the economics of the assets themselves. The comparatively simple nature of the risk weights made it attractive to repackage assets into ABS and retain riskier elements of the securities issued by the SPV. Over time, other incentives to issue have emerged and this explains why the market is still thriving despite the much more realistic capital framework in place now.

The European Union has established a regulatory framework for ABS transactions known as the STS (simple, transparent, standardised) label. This regulation sets a higher standard of information disclosure for securitisation transactions seeking to obtain the STS label. Such efforts to make securitisations less opaque have some tradition in the euro area where the ECB has insisted on loan-level data disclosure for ABS to be acceptable as collateral for ECB operations.

26.1 THE ABS ISSUANCE PROCESS

ABS are created by setting up a corporate entity, the SPV, and then transferring certain assets to the SPV by way of a sale. At the same time as the sale of assets closes, the SPV sells securities to a consortium of investors to finance the purchase of the assets. The assets underlying an ABS transaction can be loans, leases, bonds, royalties, etc. In general, any set of assets that generates regular cash flows can be used for an ABS transaction.

An important aspect of this process is that the originator of the assets, which is often a bank but can be any corporate entity that has claims to certain assets, transfers the assets with a certain degree of finality, namely in a way that allows them to be de-recognised on the balance sheet of the originator, usually by way of a true sale. What constitutes an asset transfer in this context is somewhat dependent on the applicable local law and accounting rules. For instance, some jurisdictions recognise transfers for balance sheet purposes even when the seller still has some interests in the assets but transfers them to the SPV in case of default of the originator (perfection). In any case, with the transfer of assets to the SPV, the SPV and therefore the creditors of the SPV have no further claims on the originator. This is known as the non-recourse condition.

The arrangers of the ABS will typically set up two counterparties for the SPV that aid the cash flow management of the structure. The first is the swap provider which conducts swap agreements with the SPV that allow, for instance, fixed rate loans to be used for the issuance of floating rate liabilities. The second counterparty is the GIC provider who maintains a guaranteed interest account where the SPV can hold cash collected from the assets before it is distributed to the holders of its liabilities. Swap and GIC providers have an effect on the overall credit risk of the SPV and it is therefore common to have mandatory minimum credit ratings for both, and stipulations to replace them if these minimum ratings no longer apply.

ABS are marketed and sold before the SPV structure is fully in place, and particularly before assets are transferred to the SPV. This creates certainty for the originator that the securitisation will actually go ahead, but also means that the time between the primary market sale of ABS and the settlement is usually longer than for standard securities.

26.2 DEFAULT RISK OF ABS

The concept of an ABS default is somewhat more complex than that of a normal debtor. The ABS is issued by an SPV that has no natural assets of its own, and therefore carries very few risks that are not connected to the asset pool that is being repackaged. This means that the ABS default risk stems mostly from the default risk of the underlying assets, rather than the risk of default of the issuer itself.

This general statement needs to be qualified somewhat, however. Failure to pay is not the end of a default process, instead the lender normally attempts to recover as much as possible of a loan through the legal process, or by selling the defaulted loan. When a loan has been repacked in an ABS structure, the economic interest in the loan has been redistributed to the holders of the ABS tranches but these investors have no legal basis on which to pursue either avenue. The onus to pursue recovery is on the ABS issuer, which typically subcontracts this task to the loan servicer, i.e., the legal entity that collects payments on behalf of the ABS investors during the normal performance of the loan pool.

Before going into more detail of what this means for investors, it may be useful to address issuer default risk of the ABS. This is the risk that the SPV loses money unrelated to losses in the underlying assets. Given the sparse SPV structure, such risk is generally related to ancillary activities, namely the GIC and swaps, or from legal risks incurred in the process of issuing and servicing the transaction. It is possible, but very unlikely, that the SPV loses cash deposited into the GIC, or faces losses from swap activities. SPVs are generally structured so that their stand-alone default risk is negligible in the absence of gross malfeasance. Achieving this level of security is one of the more difficult aspects of ABS structuring.

The exposure to the underlying asset risk is something that most investors find difficult to assess. Collateral assets tend to be bilaterally negotiated loans where the originator has a much better view on the loan quality than any outsider. To protect investors, loans in ABS pools tend to be collateralised and subject to screening criteria that are independent of the issuer. Such criteria can be credit scores, income levels, and the like.

The core strategy by which ABS manage default risk is through tranching. Tranching means that each ABS transaction involves the issuance of multiple bond series: cash coming from the transaction is distributed according to a priority waterfall. Losses from the loan pool are first deducted from the payments going to the equity tranche, then from those going to the mezzanine tranche, and only as a last resort are payments on the senior tranche reduced. Senior investors are therefore protected from losses by the assignment of such losses to the more junior tranches. Investors in the various tranches are compensated for the different amount of credit risks by different coupons. The senior tranche pays the lowest coupons while the equity tranche pays the highest, at least as long as it is not wiped out by losses in the pool.

While a detailed discussion of tranching is beyond the scope of this book (cf. [45] for more detail), some general remarks can be made. First, the equity tranche is sized to absorb the expected losses from the collateral pool, which means that it is designed to be more or less wiped out at the end of the transaction. The mezzanine tranche is

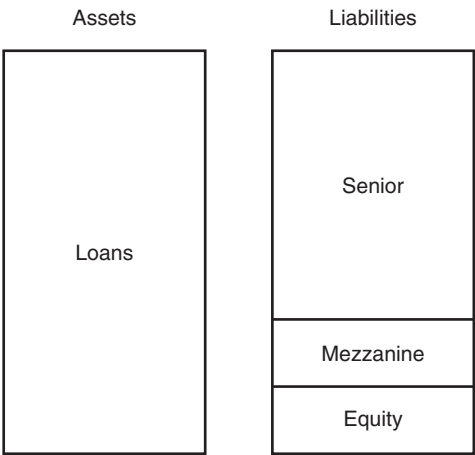


FIGURE 26.1 Standard tranche structure. In reality, the equity and mezzanine tranches would be much smaller compared to the senior tranche.

designed to be thick enough to protect the senior tranches from losses even in scenarios where losses in the pool are significantly above their expected level.

Simply speaking, the size and return on the equity tranche are determined by the expected losses on the pool while the size and return on the mezzanine tranche depend on the *uncertainty* about these losses. In option terms, the equity tranche is a long call option on the credit quality of the asset pool while the senior tranche is a far out of the money short put. The mezzanine is a short straddle and so shows the highest return volatility when the quality of the loan pool changes unexpectedly.

26.3 MATURITY OF ABS

Because an ABS is issued out of a specific structure set up to manage the transaction, there is a natural maturity date for each ABS known as the legal final maturity when the SPV is dissolved. No payments are made under an ABS after the legal final date. Unless there is an unconditional clean-up call (discussed in the next chapter), the legal final maturity is chosen to be longer than the longest loan maturity in the pool, plus some buffer to pursue potential insolvency procedures against defaulted borrowers.

When an ABS actually repays depends on the underlying loan pool and ABS do not usually have bullet repayment schedules. Instead, ABS are partially redeemed on each payment date as and when loan repayments occur in the underlying pool. To reduce the risk of time-subordination (see Section 24.2.1 on page 256), many ABS are structured so that principal repayments are directed at the most senior tranche.

In many cases investors wish to have some minimum duration in an ABS transaction. To satisfy such demand, an SPV can be structured that there are multiple senior tranches. Principal prepayments are then directed first at one of these senior tranches,

then the next, and so on. Tranches initially protected from prepayments, or subject to a planned amortisation schedule, are known as planned amortisation certificates (PACs). In essence, prepayment risk like default risk can be tranching and so distributed between different security classes within the same ABS structure. More complex tranching structures do, however, require more complex valuation models, and higher risk premia stemming from the unavoidable uncertainty both about the appropriate models and their parameters. While designing a seniority and amortisation structure to suit one particular type of investor may make it possible to sell one tranche at a lower spread to such investors, there is a risk that other tranches absorbing more complex risks need to have significantly higher spreads. The overall funding cost of a structure may then be lower if a more straightforward structure is chosen.